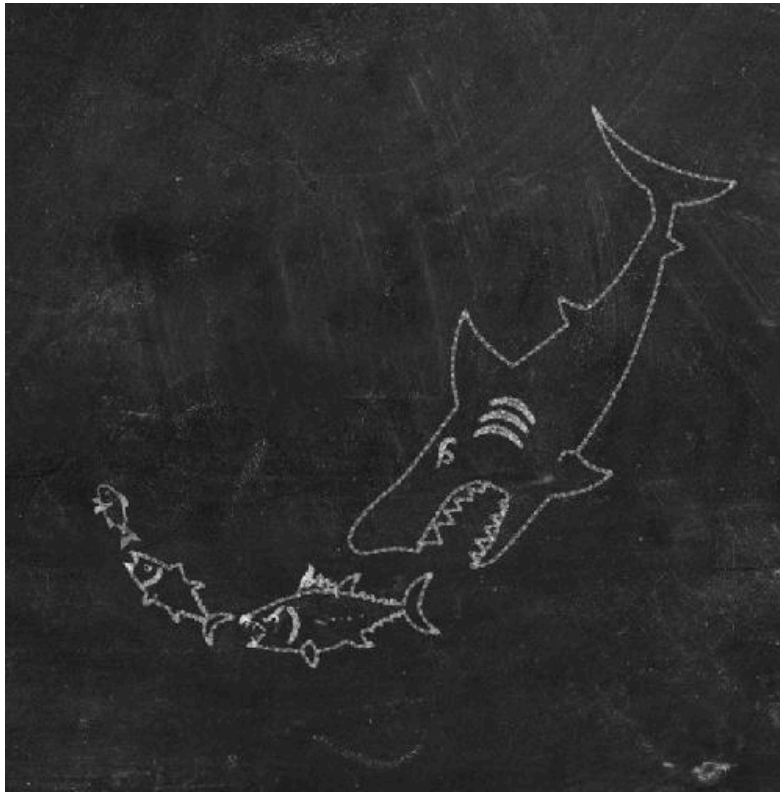


Predation



The market power of a monopolist is said to be undesirable because it leads to higher prices. But market power can also be exercised through price cuts. Some argue that such 'predatory pricing' is anti-competitive and that anti-trust agencies should try to prevent it. Suppose that Whizzy Bus is the only bus company on the London–Manchester route and earns hefty profits from its monopoly. Seeing an opportunity for profit, Zoom Routes now introduces a London–Manchester bus service. Whizzy responds by cutting prices, trying to drive Zoom out of the market. With healthy competition, fares would likely fall anyway, but Whizzy's strategy of predation goes further, slashing prices below the competitive level. In fact, Whizzy cuts prices below costs, hoping to recoup its losses from future monopoly profits. Whizzy calculates that Zoom would rather exit the market than bear the losses needed to compete. Distinguishing

competition and predation is tricky. Moreover, it is unclear when predation is likely to be successful, since the predator itself may need to sustain huge losses.